

Corporate Finance (in lingua inglese) - A. Y. 2025/2026
Topics 7 and 8: the capital asset pricing model and risk and the cost of capital

1. Define the beta and describe the methods for calculating the beta.
2. What determines the beta?
3. Why the beta of a portfolio is useful?
4. Describe the assumptions of the CAPM and write the related formula.
5. Write and explain the SML.
6. Comment on advantages and drawbacks of the CAPM.
7. Show some alternative methods for calculating the expected rate of return of a stock.
8. Comment on this statement: all the securities traded in a financial market are influenced by the systematic risk in the same way.
9. What is the after-tax WACC? When and why do we need to use the after-tax WACC in the context of capital budgeting?
10. Comment on this statement: the cost of capital of a company is the cost of capital to be used for any kind of future long-term investments of that company.
11. Which of the following costs are sunk costs for a specific project of investment: market research, labor cost, purchase of raw materials.
12. The IRR of a project of investment depends only on the expected cash flows of the project: true or false? Why?

If you need help, please revise Chapters 8 and 9 of the textbook.